Practice workbook · Reading a production possibility curve and economic growth

What points on, inside and outside a PPC mean, movements along it, outward and inward shifts, and the causes of positive or negative growth.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-03

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part i only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

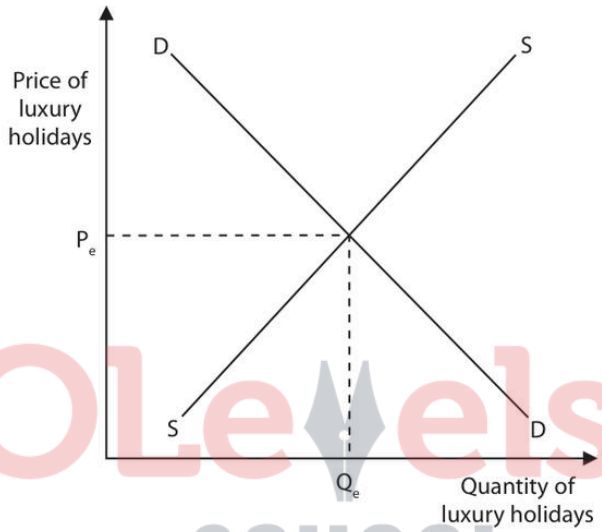


Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.

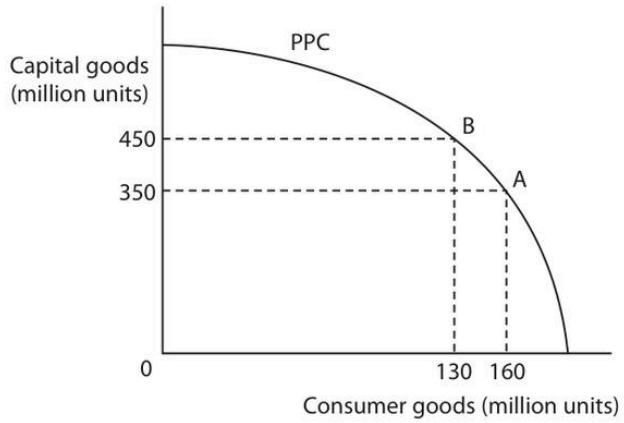


Figure 2

Figure 2 shows the production possibility curve (PPC) for an economy.

(i) With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC).

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.



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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
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- ☒ **D** Education

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(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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3. Question 3 · part e · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

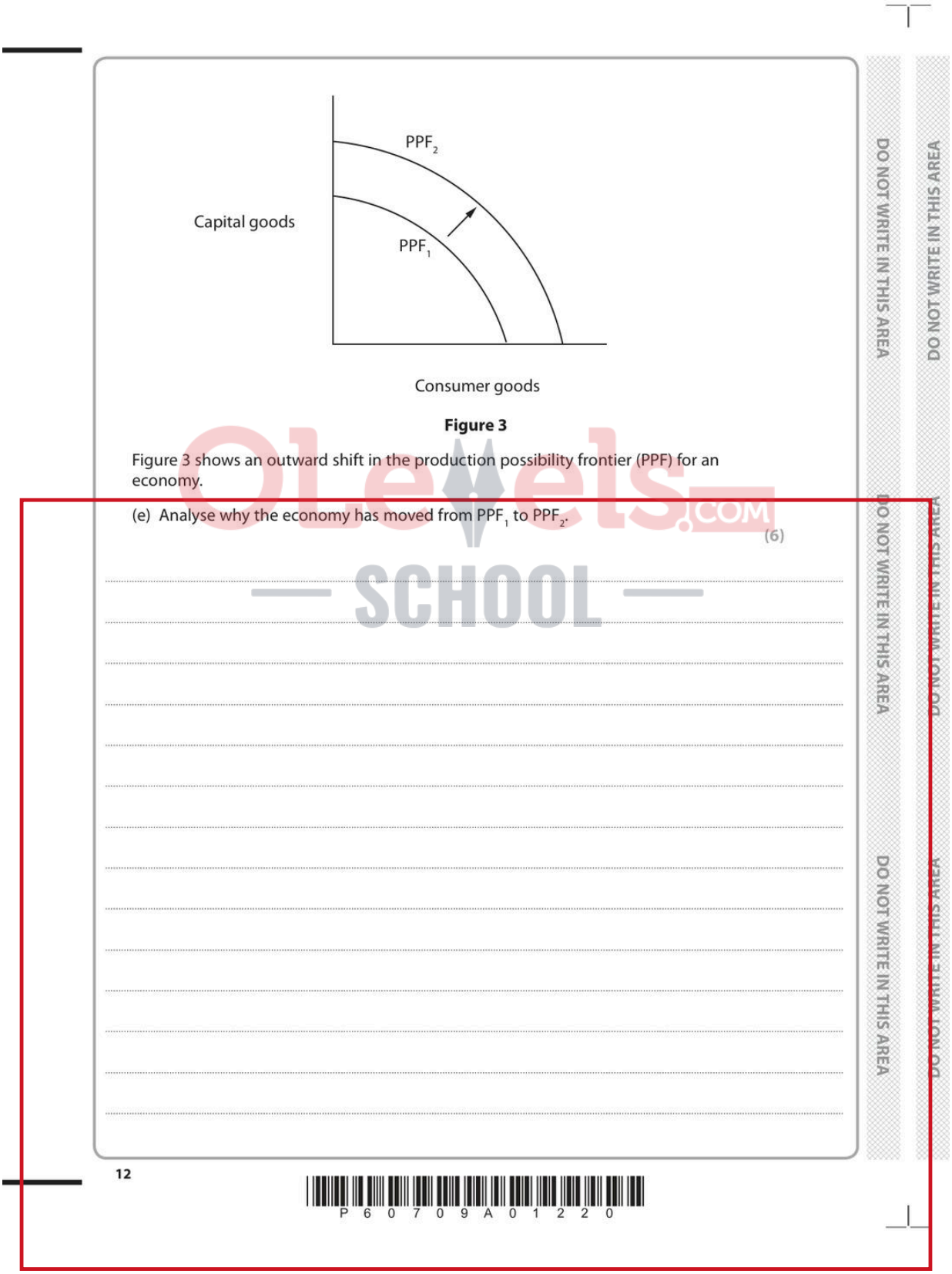


Figure 3

Figure 3 shows an outward shift in the production possibility frontier (PPF) for an economy.

(e) Analyse why the economy has moved from PPF_1 to PPF_2. (6)

12

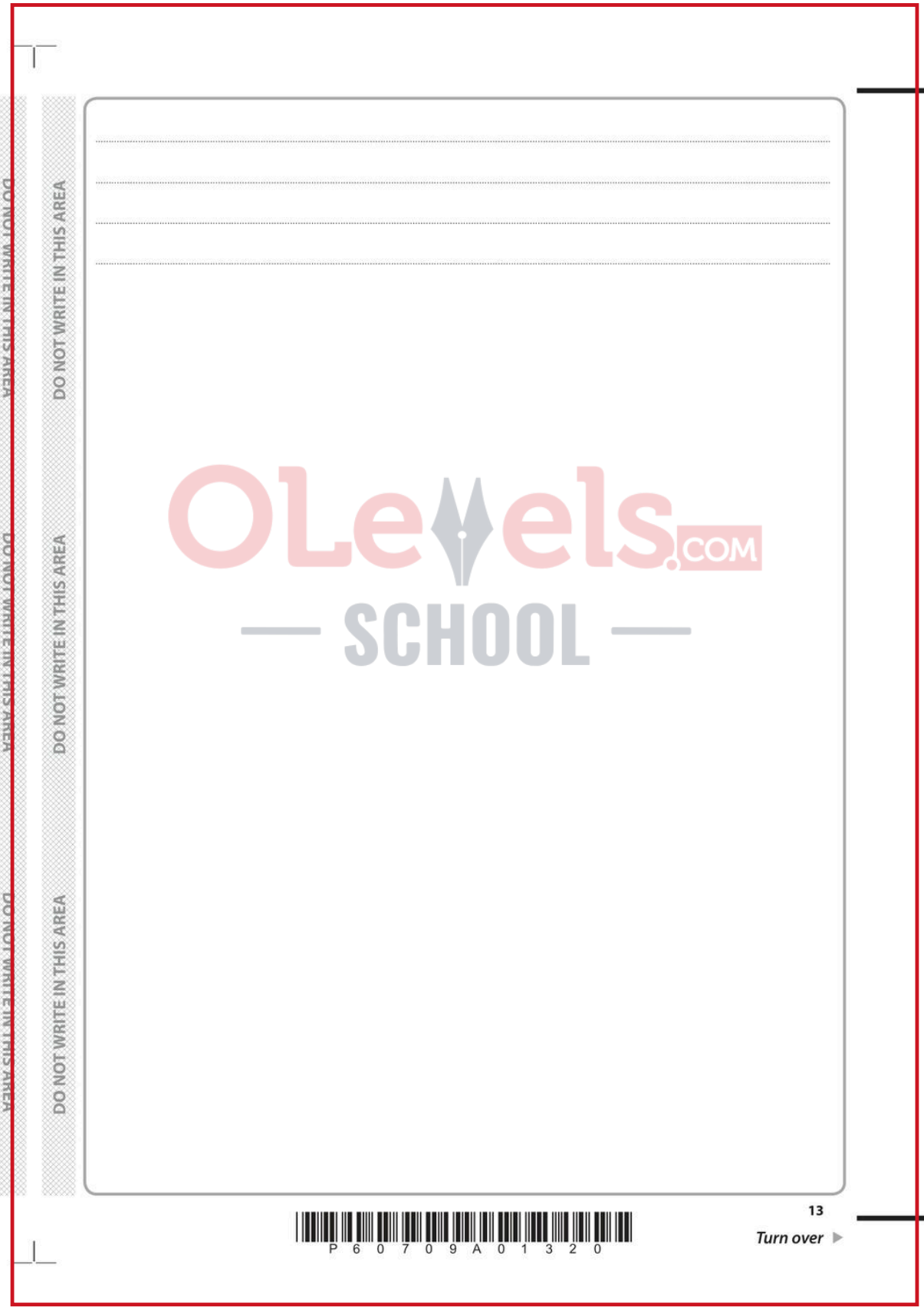
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3. Question 3 · part e · 6 marks

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Further practice · Attempt part e only.



3. Question 3 · part e · 6 marks

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Further practice · Attempt part e only.

South Africa has a new trade union federation

The newly formed trade union group, the South African Federation of Trade Unions (SAFTU), aims to represent workers in the country. In the past, trade unions in South Africa have played an important role, but the influence of trade unions has declined globally in recent years. SAFTU has nearly 700,000 members and is the second largest group of trade unions in South Africa.

(Source: adapted from http://theconversation.com/south-africa-has-a-new-trade-union-federation-can-it-break-the-mould-76609)

(f) With reference to the data above and your knowledge of economics, assess how trade unions, such as those in the SAFTU, might have an impact on the labour market.

(9)

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3. Question 3 · part e · 6 marks · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

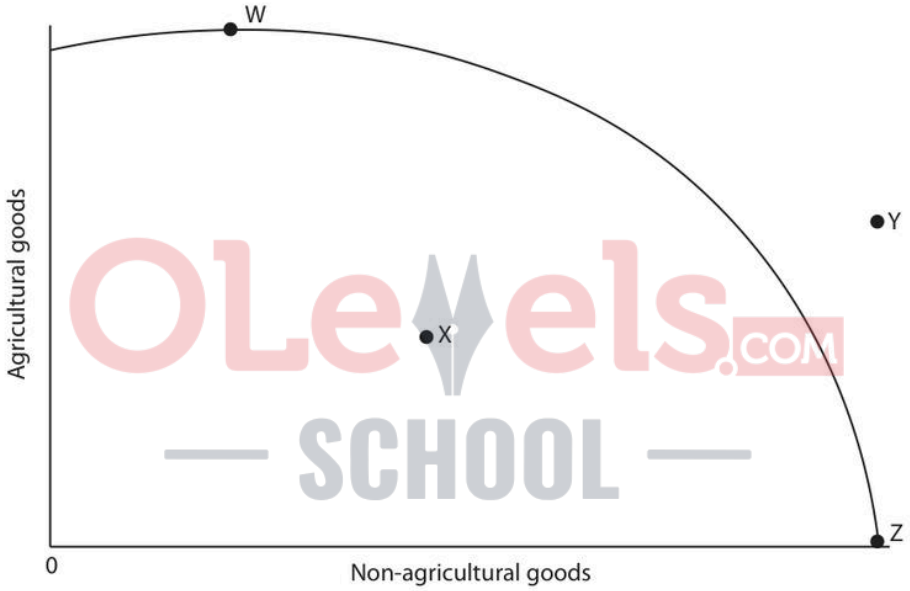


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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4. Question 2 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Car production is most likely to take place in which sector of the economy?

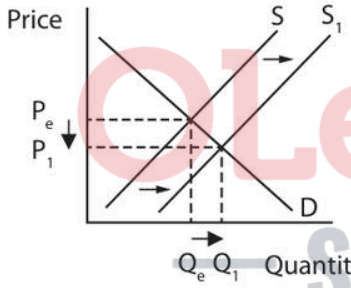
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

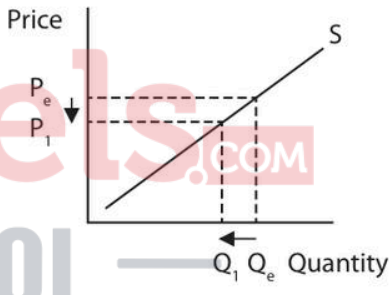
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

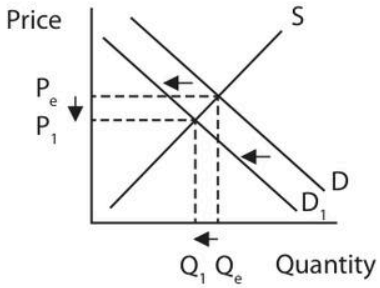
☒ **A**



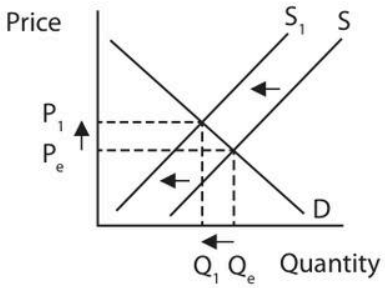
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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2

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6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

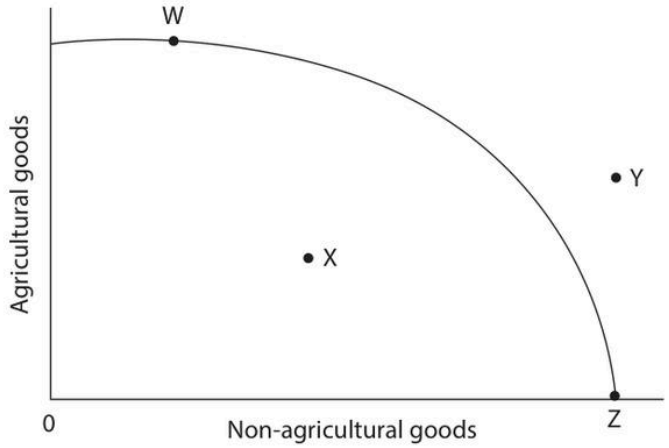


Figure 2

(a) Which **one** of the following points shows unemployed resources?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect

(1)

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small.

(1)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

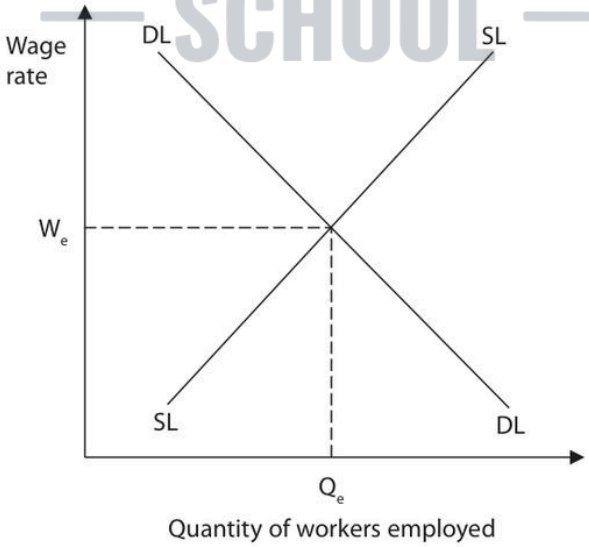


Figure 3

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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

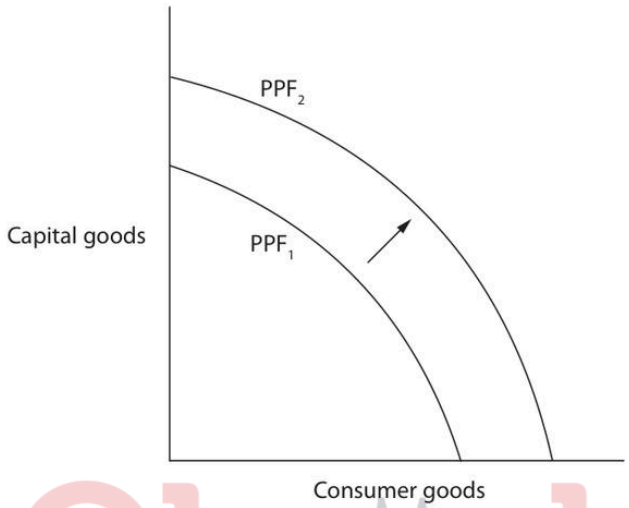


Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

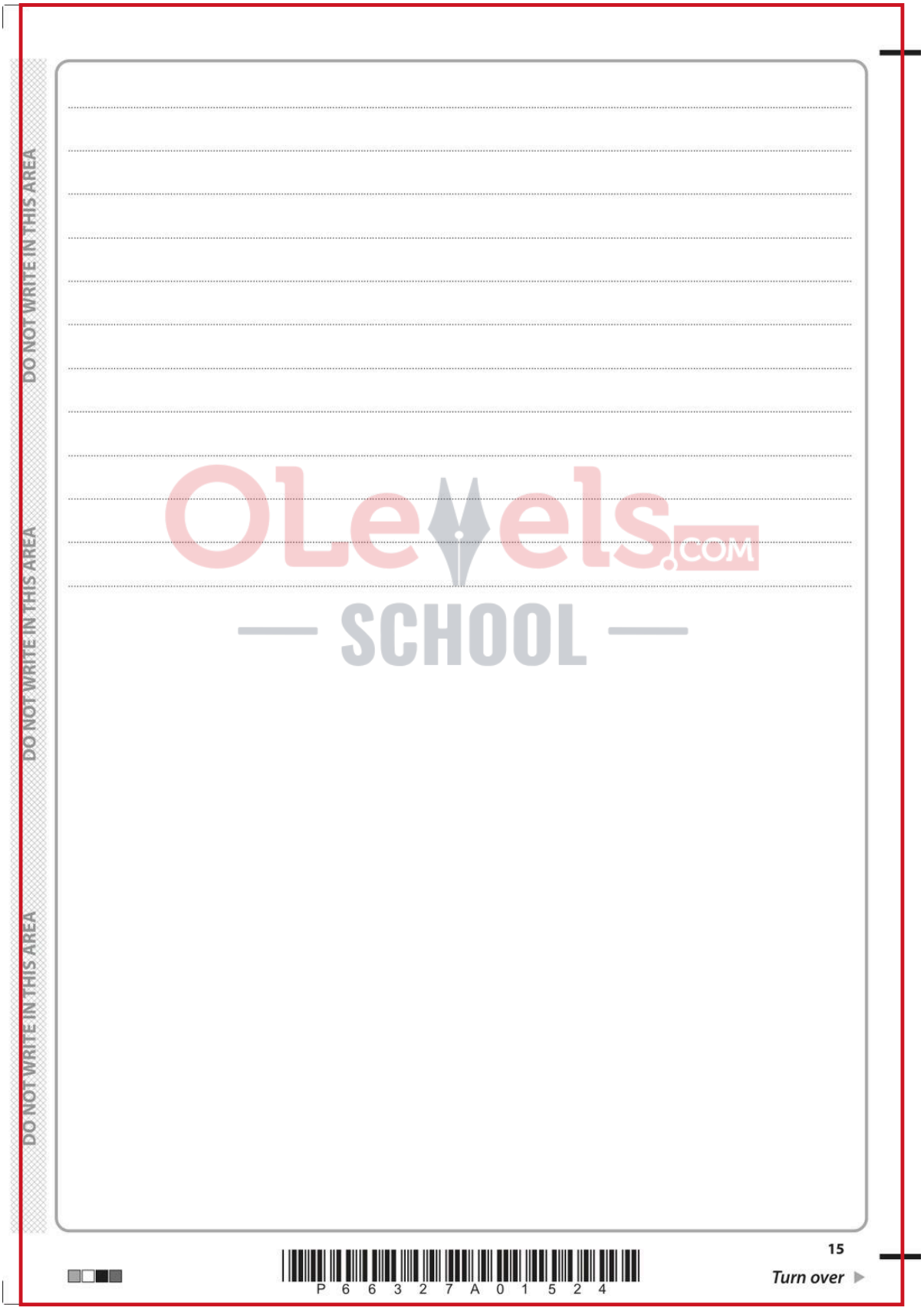
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8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.



8. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

It is estimated that 23 billion bricks are made each year in Bangladesh. The industry employs over one million people. Demand for bricks is rising due to growth in the construction industry. The production of bricks contributes to the severe air pollution in the country by emitting smoke and dust clouds. Children, the elderly, pregnant women and those with a respiratory or heart condition may be especially affected by the poor air quality.

(Source adapted from: https://undark.org/2018/09/05/air-pollution-dhaka/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which the costs of producing bricks in Bangladesh are external costs.

(9)

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8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

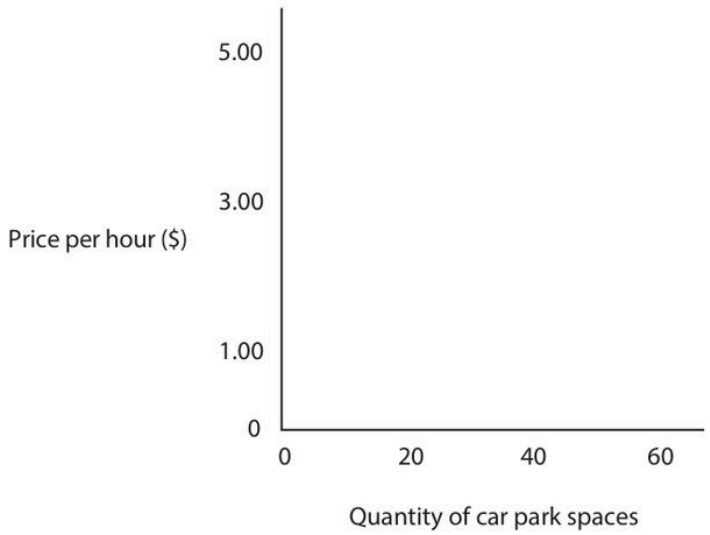
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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9. Question 3 · part d · 6 marks

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Further practice · Attempt part d only.

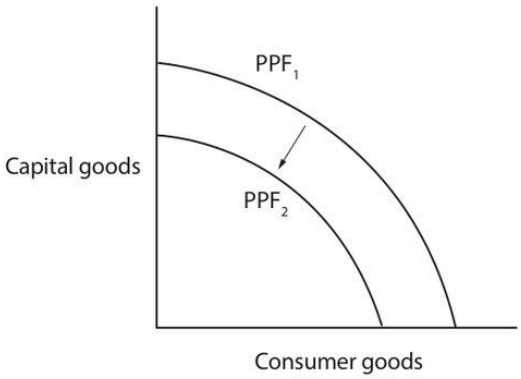


Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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9. Question 3 · part d · 6 marks

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Further practice · Attempt part d only.

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9. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

In 2022, two entertainment firms WarnerMedia and Discovery are expected to merge. The new firm will be called Warner Bros. Discovery. It is predicted it will have 59 million subscribers to its merged streaming services. This will increase further if plans to release several new programmes go ahead.

The new firm will have assets that include: many popular television channels; film, animation and television studios; DC Comics; and news channel CNN. The new company will have an estimated value of $150bn.

(e) With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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Working and answer

11. Question 2 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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11. Question 2 · part b · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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12. Question 1 · part a · 1 mark · Working and answer

Working and answer

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13. Question 2 · part a · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

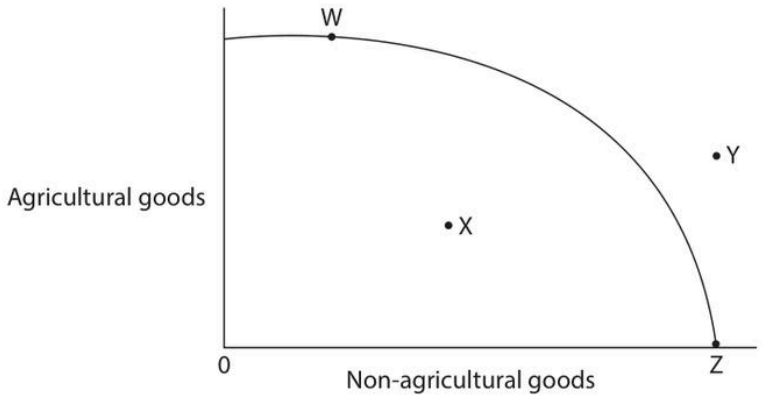


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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13. Question 2 · part a · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

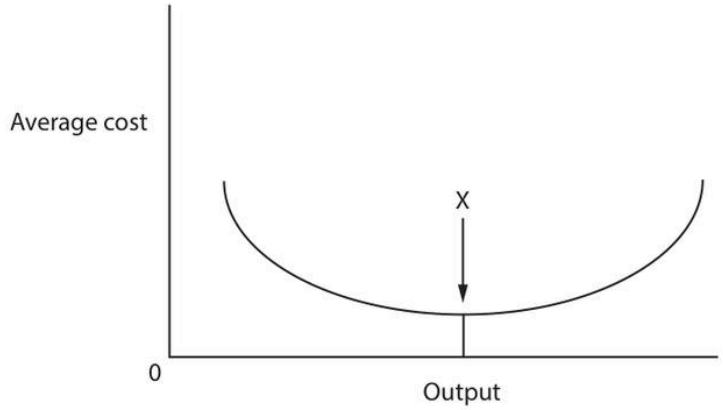


Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

14. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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8

P 7 8 9 5 6 A 0 8 2 4

14. Question 2 · part b · 1 mark · Working and answer

Working and answer

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